

THE CAFE STARTER GUIDE

OPENING A CAFE AS A SIDE BUSINESS

A step-by-step path from idea to open doors, built around one principle: pick a specific customer and build everything around them.

Most first-time cafe owners open "a cafe" -- a place that serves coffee and food to whoever walks in. That is the hardest possible way to compete, because you are undifferentiated in a crowded market. The cafes raising money and scaling right now did the opposite: they picked one customer and built the entire brand, menu, and space around that person. This guide walks you through doing the same, step by step, as a side business you do not run day to day.

START HERE

Pick a customer, not a cafe

The strongest new cafe brands in India are built around a clearly defined customer, not around coffee in general. When the customer is specific, every later decision -- name, colours, menu, location, pricing -- becomes obvious, because you are answering "what does this person want?" rather than "what do people like?" A vague target produces a vague cafe and average results.

What "Built Around One Customer" Looks Like

Decision	Generic Cafe	Customer-Led Cafe
Target	"Everyone who likes coffee"	One specific group (e.g. Gen Z, remote workers, fitness crowd)
Menu	Standard coffee + snacks	Built for that group (e.g. protein/functional, or study-friendly)
Space	Generic seating	Designed for how that group actually uses it
Brand + name	Pleasant, forgettable	Distinct, shareable, matches the customer

Example worth studying: several recently-funded Indian cafe brands built explicitly for Gen Z unified their sci-fi or minimalist store design, their functional/wellness menu, and their name and colours around that one audience. The coherence is the moat, not any single element.

THE STEP-BY-STEP PATH

Idea to open doors

- Step 1 — Define the customer in one sentence. Name the group, why they come, and what they want that they cannot easily get elsewhere. If the sentence contains "everyone," rewrite it. This sentence governs every decision that follows.
- Step 2 — Pick the niche and hero product. Decide the one thing you are known for -- functional beverages, specialty filter coffee, study-cafe, dessert-led. A cafe known for one thing beats a cafe good at everything. The hero product is what people name when they recommend you.
- Step 3 — Choose the micromarket, not the city. Pick the specific area where your customer already is -- near a college for Gen Z, near tech parks for remote workers, near gyms for the fitness crowd. Footfall of the right kind beats high footfall of the wrong kind.

Step 4 — Decide the format and size. A kiosk or small 150-400 sqft counter is far lower risk and cost than a full sit-down cafe, and works well for a side business. Match the format to the customer: grab-and-go for commuters, comfortable seating for students.

Step 5 — Build the brand around the customer. Name, logo, colours, and interiors should all signal "this is for you" to your target and be worth photographing. For most modern cafe customers, shareability is free marketing -- design for it deliberately.

Step 6 — Cost the build honestly. Fitout for a cafe typically runs Rs 1,500-4,500 per sqft depending on how design-heavy it is (standardised layouts sit lower; premium design-led spaces higher). Get an itemised quote and compare it against a proper breakup before signing.

Step 7 — Plan to run it without you. As a side business, you need a manager or a trusted operator, documented processes, and clear inventory and cash controls from day one. Decide this before you open, not after it becomes a problem.

THE MONEY

What to budget and check

Rough Cost Anchors (Verify For Your Own Site)

Head	Indicative Range	Notes
Fitout / interiors	Rs 1,500-4,500 / sqft	Standardised layout at the low end; design-led premium at the top.
Equipment	Varies by menu	Espresso machine, grinder, fridge, kitchen -- driven by your hero product.
Deposit	6-10 months rent	Locked capital. Confirm it is genuinely spare.
Working capital	3-4 months runway	To survive the ramp before the cafe builds a regular crowd.

Five Numbers To Know Before You Sign

One. Your rent as a percentage of expected monthly revenue. If rent alone is above 15-18 percent of realistic revenue, the deal is fragile before you have spent on anything else.

Two. Your break-even -- how many cups or covers per day you need just to cover fixed costs. If that number feels heroic for your location, rethink the site or the format.

Three. Delivery commission drag. Aggregators can take 20-30 percent. Know how much of your volume will be delivery and price it in from the start.

Four. Payback period. At a realistic profit, how long to recover your setup capital? Cafes are typically patient businesses, not quick ones -- plan accordingly.

Five. The cost of your hero product vs its price. Your signature item should have healthy margin, because it is what sells most. If the thing you are famous for barely makes money, the model is broken.

The One-Line Summary

Pick a specific customer. Build the niche, the name, the menu, and the space around only them. Choose the micromarket where they already are. Keep the format small and the processes tight so it can run without you. The cafes winning right now are not the ones trying to please everyone -- they are the ones that chose someone.

Based on research and personal experience. Please do your own research as well.

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